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Test Series: March, 2022

MOCK TEST PAPER-I

INTERMEDIATE GROUP – II

PAPER – 7: ENTERPRISE INFORMATION SYSTEMS AND STRATEGIC MANAGEMENT

SECTION – A: ENTERPRISE INFORMATION SYSTEMS

Time Allowed – 1½ Hours **Maximum Marks: 50 Marks**

Part I: Multiple Choice Questions **Total Marks: 15 Marks**

Question Nos. 1 to 5 carries 2 marks each.

KL Mart deals in grocery items, adults' apparels, electronic items, stationery items and gym related equipment. These items are sold in its two showrooms one each in Noida and East Delhi. To purchase items from any of these two showrooms; the customers must have GST number against which free of cost membership card is issued to them which the customers may use in any of the showroom. KL Mart has its warehouse located at Greater Noida, quite distant from the location of its two showrooms. All the three locations - both showrooms and warehouse maintain their separate computerized billing and inventory systems with both showrooms not aware of inventory available at warehouse at any point in time. Therefore, the integration between the inventory system of both showrooms and warehouse store is lacking.

As a regular practice, after every three days, both showrooms raise their inventory requirement to warehouse and accordingly the warehouse based on the availability of the stock items, either accepts or rejects partially/fully the requisition raised by any showroom. Once the order of any showroom is confirmed, the warehouse is bound to deliver the products to that showroom latest by the next day of its order confirmation. The management observes few incidents wherein the products were not supplied as per the requirement of showroom because of their non-availability. The time to place the clearance for the order of various products from the warehouse makes the showrooms to wait forcibly for their ordered products to be received.

To solve the problem of delay in products' delivery and reduce the turnaround time, the management of KL Mart proposes to procure new software with an objective to automate inventory, billing, and stock modules to synchronize integration of inventory systems between the showrooms and warehouse. So, the Management approaches a software provider/developer company named Gigs Software Ltd. to procure the software to automate and integrate their inventory process of warehouse and showrooms. Mr. Anil from Gigs Software Ltd. leads its team to understand and realize the needs and requirements of KL Mart for which he interviews various officials from management and employees of warehouse/showroom to know about their expectation from proposed system.

1. Mr. Anil after understanding the needs and requirements of KL Mart compiles a report and decides to provide an overview of what data would the proposed system be processing and storing, what transformations shall be performed, what results would be produced and flow of data among external entities. Identify the tool used by Mr. Anil in this case.

   (a) Data Flow Diagram

   (b) Flowchart

   (c) Decision Table

   (d) Decision Box

2. In purview of above case scenario, whenever there is delivery of ordered products by warehouse to any of the showroom, the vouchers are required to be issued to record the physical movement of stock from one location to another. What type of voucher is relevant in this case?

   (a) Receipt Note

   (b) Stock Journal

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(c) Delivery Note

(d) Physical Stock

3. While developing the proposed software for KL Mart, which of the following control from Data Resource Management Control should be applied by developer of Mr. Anil's team from Gigs Software Ltd. so that only authorized users can change or delete the inventory database?

(a) Update Control

(b) Concurrency Control

(c) Definition Control

(d) Quality Control

4. Mr. Ramesh purchased various grocery and electronic items from KL Mart of ₹ 20,000/-. He used a digital mode of payment wherein the payment was based through quick response code without using internet banking. Identify the digital payment method used by Mr. Ramesh.

(a) Cryptocurrency

(b) Smart Card

(c) e-Rupi

(d) Credit Card

5. KL Mart maintains its bank account with Noida Branch of DEF bank for all types of transactions. Which of the following server of DEF bank stores the login details of its customers and authenticates them at the time of login?

(a) Internet Banking Application Server

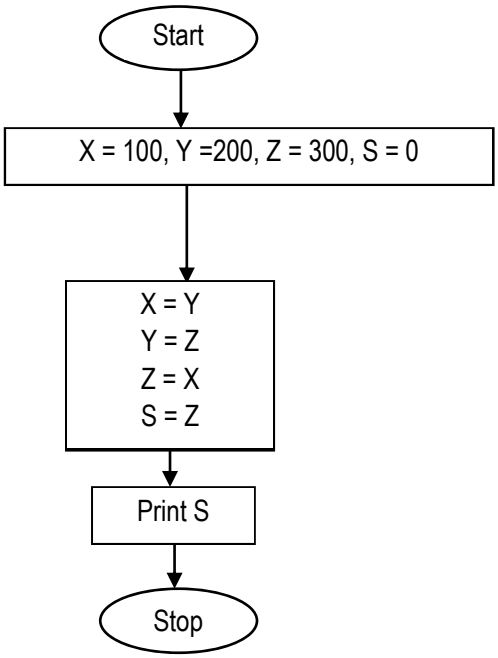
(b) Internet Banking Channel Server

(c) Application Server

(d) Automated Teller Machine Channel Server

Question No(s). 6 to 10 carries 1 Mark each.

6. Consider the following flowchart.



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Choose the correct value of S.

(a) 100

(b) 200

(c) 300

(d) 0

7. Below mentioned activities are involved in overall Purchase Process of Material Management (MM) Module in ERP Systems.

(i) Placing an order for Approved Quotation.

(ii) Release of payment to vendor.

(iii) Issue of material to production.

(iv) Receipt of material by stores.

(v) Purchase requisition from production department.

(vi) Evaluation of quotations.

(vii) Asking for quotation from approved vendors.

(viii) Evaluation of purchase request by Purchase department.

(ix) Recording of purchase invoice by Accounts.

Arrange them in sequence.

(a) (v) – (viii) – (vii) – (vi) – (i) - (iv) – (iii) – (ix) – (ii)

(b) (iii) – (iv) – (ii) – (vi) – (i) – (ix) – (viii) – (v) – (vii)

(c) (i) – (ii) – (iii) – (iv) – (ix) – (viii) – (vii) – (vi) – (v)

(d) (v) – (vii) – (ix) – (vi) – (iv) – (i) –(iii) – (ii) – (viii)

8. The Information Systems Auditing is defined as the process of attesting various objectives that are mentioned below:

(i) Asset safeguarding

(ii) Data integrity

(iii) System effectiveness

(iv) System efficiency

The underpinned definition of these objectives is as under:

I. This involves protecting of various resources like hardware, software, data files etc. by using internal controls from unauthorized access.

II. This involves whether a system reports information in a way that facilitates its users in decision-making or not.

III. This involves use of various Information system resources minimally with their optimum utilization.

IV. This involves maintaining the accuracy, completeness, reliability, and transparency of the data.

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Match the objectives with their definitions:

(a) (i) – I, (ii) – IV, (iii) - II, (iv) - III

(b) (i) – I, (ii) – II, (iii) - III, (iv) - IV

(c) (i) – IV, (ii) – III, (iii) - II, (iv) - I

(d) (i) – II, (ii) – III, (iii) - I, (iv) - IV

9. There are few examples of e-business model.

(i) A consumer selling his refrigerator on the website.

(ii) Consumer placing an estimate of amount s/he wants to spend on hiring the particular service.

(iii) Seller selling its products to an intermediate buyer who then sells its products to the final customer.

(iv) Online retailer selling its products and services to consumers through its website.

The business models are listed below:

I. Business - to - Business (B2B)

II. Consumer - to - Consumer (C2C)

III. Business - to - Consumer (B2C)

IV. Consumer - to - Business (C2B)

Identify the statement that shows the correct match of the example with its corresponding e-business model.

(a) (i) - I, (ii) - II, (iii) - III, (iv) - IV

(b) (i) - II, (ii) - IV, (iii) - I, (iv) - III

(c) (i) - III, (ii) - II, (iii) - I, (iv) - IV

(d) (i) - IV, (ii) - III, (iii) - II, (iv) - I

10. Following are the various risks that are associated with security of information in an automated environment.

(i) Lack of management direction and commitment to protect information assets.

(ii) Potential loss of confidentiality, availability and integrity of data and system.

(iii) Non-establishment of user accountability.

(iv) Security breaches may go undetected.

Following are the controls for afore-mentioned risks to Information Security.

I. Establishment of security policies.

II. Vendor default passwords are approximately modified, eliminated, or disabled.

III All users to have unique user-id.

IV Logs are maintained and regularly reviewed.

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Match the risks with their corresponding controls.

(a) (i) – I, (ii) – II, (iii) – III, (iv) - IV

(b) (i) – IV, (ii) – II, (iii) – III, (iv) – I

(c) (i) – II, (ii) – III, (iii) – IV, (iv) – I

(d) (i) – III, (ii) – I, (iii) – IV, (iv) - II

Part II: Descriptive Questions **Total Marks: 35 Marks**

Question No. 1 is compulsory. Attempt any three out of remaining four questions.

1. (a) ABC Bank has introduced digital mode of remittance to make online transfer of funds from one place to another. Explain the various modes of Electronic Funds Transfer (EFT). **(3 Marks)**

   (b) Mention various controls under the Application Control Framework of Information Systems. **(2 Marks)**

2. (a) Enterprise Resource Planning (ERP) System comprises of various modules that share common database and work in congruence and harmony with each other. Why do you think the integration between different modules of ERP is required? Also, briefly explain integration of Material Management (MM) Module with other modules. **([1 + 5] Marks)**

   (b) Blockchain is a shared immutable ledger that facilitates the process of recording transactions and tracking assets in various business fields. Discuss various application areas of blockchain in detail. **(4 Marks)**

3. (a) ABC Ltd. is a coaching institute with its three branches in Delhi/NCR that provides coaching to engineering aspirants for various competitive examinations. The Institute wishes to develop an IT setup to initiate online coaching and assessment tests. To attain its objective, ABC Ltd. approaches an IT based company named KK Software Ltd. to develop the proposed system for them. Discuss in detail the activities that the Systems Development Management team of KK Software Ltd. would perform to develop the proposed system for ABC Ltd. **(6 Marks)**

   (b) Data Analytics involves much more than just analyzing the data and help the businesses to increase revenues, improve operational efficiency and to respond more quickly to emerging market trends. Discuss the process of Data Analytics in detail. **(4 Marks)**

4. (a) Grid Computing is special kind of distributed computing model used to solve complex problems among different interconnected domains with each domain administrated independently and free to deploy technologies. Briefly explain the constraints that should be considered to develop the security architecture of Grid Computing. **(6 Marks)**

   (b) Data in each business is considered as a unique resource and therefore its security is a primary concern for organizations as various risks are associated with it. Briefly discuss the Asynchronous attacks that fall under Data related risks. **(4 Marks)**

5. (a) In any Information System; various controls are implemented to prevent, detect, and facilitate the correction of several risks. Describe various levels at which implementation of these controls are required to be examined in computer system. **(6 Marks)**

   (b) RBI has prescribed comprehensive Cyber Security Framework for banks to ensure effective information security governance in CBS environment. Specify the key measures required to implement Network Security and Secure configuration in digital environment of bank. **(4 Marks)**

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SECTION – B: STRATEGIC MANAGEMENT

Time Allowed – 1½ Hours **Maximum Marks – 50**

Question **1** and **2** are compulsory.

Attempt any **three** questions out of remaining **four** questions.

1. (A) Pantheon Yoga Center (PYC), situated in the dense forests of Chhattisgarh by Dr. Manohar Dasgupta, a less known meditation center is visited by affluent Indians and foreign seekers, only by invitation. The uniqueness of his methodologies remains in the fact that only a few people have been able to experience them yet.

Recently, CEO of a big investment bank approached Dr. Dasgupta to take special sessions for his management team in Los Angeles, USA - and given Dr. Dasgupta's popularity amongst business leaders, he wanted to strengthen his network as well for business purposes by building relations with him. Though Dr. Dasgupta was reluctant at first but understanding the need to publicize his practice and an offer by the CEO to get access to more corporates through this route, he took the opportunity, and called his corporate suite of sessions, the 'Shanti Classes'.

There were certain risks though; first, his techniques could be shunned by the top management as being too orthodox and old. Second, maybe they could be revealed to the outside world in a very disruptive manner, thus taking away the core uniqueness of exclusivity, and lastly, how would he monetize his methodologies if they expanded so quickly.

With above risks also came the need to build a strong team of like minded individuals who could support and propagate the ideologies in a positive fashion. For this he relied on his daughter, Sukanya. She took three months to build a team of fifty young-vibrant men and women from different backgrounds and trained them with basics and a few specializations.

PYC opened its first branch in Los Angeles, USA, and then took the opportunity to open three more in India. One each in Madhya Pradesh, Gujarat and Assam.

The center and its techniques have now been recognised globally, especially in Northern America, while Europe is still to be explored business wise. One thing that Pantheon model reassures is that strategy has no boundation with respect to product or service; it applies to each kind in its own way.

Based on the above Case Scenario, answer the Multiple-Choice Questions which are as follows:

1. Core competencies cannot be built on single know how, instead it has to be integration of many resources. From the above case, what was the core competency of PYC and which of the following competencies were missing from its bunch of competencies?

   (a) Customer Satisfaction was the core competency and its competencies did not include meditation expertise.

   (b) Location of the Yoga Center was the core competency and its competencies did not include technological know-how.

   (c) Exclusivity was the core competency and its competencies did not include easy scalability.

   (d) Dr. Dasgupta's brand name was the core competency and its competencies did not include exclusivity. **(2 Marks)**

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2. Suppose you are a banker funding PYC's new ventures. Please apprise the management about the third risk mentioned above and which of the functional level strategies is it associated with for PYC?

   (a) Associated with Delivering Value to Customer, Marketing Strategy

   (b) Associated with Sources of Funds, Financial Strategy

   (c) Associated with Free Publicity, Marketing Strategy

   (d) Associated with Management of Funds, Financial Strategy **(2 Marks)**

3. The formation of "Shanti Classes' by Dr. Dasgupta to popularise his business can be categorised as which of the following growth strategies?

   (a) Product Development

   (b) Diversification

   (c) Market Penetration

   (d) Market Development **(1 Mark)**

4. Which growth strategy was the CEO of the investment bank trying to achieve with Dr. Dasgupta's classes?

   (a) Merger

   (b) Diversification

   (c) Acquisition

   (d) Strategic Alliance **(1 Mark)**

5. The biggest challenge that you think Sukanya would face while implementing Human Resource Strategy for the newly trained 50 odd individuals would be?

   (a) Building core competency with faith in employees

   (b) Creating Competitive Advantage based on employee skills

   (c) Managing Diversity of Workforce

   (d) Providing Purposeful Direction **(1 Mark)**

(B) Greg was heading the Global Biscuits SBU for Jonky's Ltd. and he got an email congratulating him for being promoted as the head of entire business of Jonky's in India. Which of the following statements is true about Greg's position?

   (a) Greg was a business level manager but now he is a corporate level manager

   (b) Greg was a functional level manager but now he is a corporate level manager

   (c) Greg was a business level manager and now also he is a business level manager

   (d) Greg was a corporate level manager and now also he is a corporate level manager

2 Marks)

(C) J&P, a western wear brand has contracted Pee Kaw marketing firm from Singapore, product design team working as an outsource company from Mexico and Humans branding company taking care of its people's operations. What kind of structure is this?

   (a) Hourglass Structure

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(b) Outsourcing

(c) Network Structure

(d) Tree Branch Structure **(2 Marks)**

(D) Which is not the major dimension of strategic decision making?

(a) Top management involvement

(b) Commitment of organizational resources

(c) Future Oriented

(d) Impact on short term prosperity of firm **(1 Mark)**

(E) Functional level managers are concerned with_____

(a) Strategies that are responsible for the operations of specific business

(b) Strategies that span multiple businesses

(c) Strategies that are specific to particular country

(d) Strategies that encourage a favourable attitude toward change **(1 Mark)**

(F) Best Cost provider strategies

(a) Seek to attract buyers on the basis of charging low price for low quality

(b) Aim at giving customers less value for more money

(c) Seek to attract buyers on the basis of charging high price for high quality

(d) Aim to giving customers low cost and better quality **(1 Mark)**

(G) The statement "where we want to go "denotes company

(a) Objective

(b) Policy

(c) Strategy

(d) Vision **(1 Mark)**

2. A private Moneyload Ltd. Bank that targets high worth individuals. They offer a premium service with many additional and personal services not normally available through other banks. They charge a significant annual fee for these services. The company makes full use of information technology throughout its operations in order to minimize costs. Identify and explain the generic strategy adopted by Moneyload Ltd. Bank? **(5 Marks)**

3. (a) Sky chemical industry intends to grow its business. Advise the company on the available options using Ansoff's product market growth matrix. **(5 Marks)**

(b) The presence of strategic management cannot counter all hindrances and always achieve success for an organisation. What are the limitations attached to strategic management? **(5 Marks)**

4. (a) There has been fierce demand for both Gecko and FlyBee for the last 3 years. Gecko makes mass consumption pens while FlyBee is a notebook and diary brand - both being complementary goods of each other. But to grow further, FlyBee decided to take up competition with Gecko in pens segment and thereby launched, FlyPens. Identify and explain the growth strategy opted by FlyBee? **(5 Marks)**

(b) Explain briefly the. key areas in which the strategic planner should concentrate his mind to achieve desired results. **(5 Marks)**

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5. (a) Explain the steps for initiating strategic change. **(5 Marks)**

(b) What do you understand by functional structure? **(5 Marks)**

6. Distinguish between the following:

(a) Strategic Planning and Operational Planning.

5 Marks)

(b) Publicity & Sales Promotion. **(5 Marks)**

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